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No. 94-623

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**In the
Supreme Court of the United States**

OCTOBER TERM, 1994

VIMAR SEGUROS Y REASEGUROS, S.A.,
PETITIONER,

v.

M/V SKY REEFER, HER ENGINES, ETC.,
AND M.H. MARITIMA, S.A.,
RESPONDENTS.

ON WRIT OF CERTIORARI
TO THE UNITED STATES COURT OF APPEALS
FOR THE FIRST CIRCUIT

RESPONDENT'S BRIEF

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QUESTION PRESENTED

Whether a foreign arbitration clause in a maritime bill of lading is invalid under section 3(8) of the Carriage of Goods by Sea Act, 46 U.S.C. § 1303(8), or whether such a clause is enforceable under the Federal Arbitration Act, 9 U.S.C. § 1 *et seq.*

**PARTIES TO THE PROCEEDING AND
RULE 29.1 STATEMENT**

Respondent in this proceeding is M.H. Maritima, S.A.,
which is a subsidiary of Honma Senpaku Co., Ltd.

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STATUTORY PROVISIONS INVOLVED

1. Section 1 of the Federal Arbitration Act, 9 U.S.C. § 1, provides, in pertinent part:

"Maritime transactions", as herein defined, means charter parties, bills of lading of water carriers, . . . or any other matters in foreign commerce which, if the subject of controversy, would be embraced within admiralty jurisdiction; "commerce", as herein defined, means commerce among the several States or with foreign nations

2. Section 2 of the Federal Arbitration Act, 9 U.S.C. § 2, provides, in pertinent part:

A written provision in any maritime transaction or a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction . . . shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.

3. Section 3(8) of the Carriage of Goods by Sea Act, 46 U.S.C. § 1303(8), provides, in pertinent part:

Any clause, covenant, or agreement in a contract of carriage relieving the carrier or the ship from liability for loss or damage to or in connection with the goods, arising from negligence, fault, or failure in the duties and obligations provided in this section, or lessening such liability otherwise than as provided in this chapter, shall be null and void and of no effect.

STATEMENT OF THE CASE

Statutory Framework

Arbitration has existed in the United States as a mechanism for dispute resolution since colonial times. *Domke on Commercial Arbitration* § 2:04 (rev. ed. Wilner 1990). American courts, however, importing the long-standing concern of English courts that arbitration would deprive them of jurisdiction, refused to enforce agreements to arbitrate. See *Allied-Bruce Terminix Cos. v. Dobson*, 115 S. Ct. 834 (1995); *Dean Witter Reynolds Inc. v. Byrd*, 470 U.S. 213, 220 n.6 (1985). Even after 1889, when England enacted its Arbitration Act, which deemed agreements to arbitrate valid and enforceable, courts in this country stubbornly persisted in their refusal to enforce agreements to arbitrate. *Domke* § 2:04.

In 1925, Congress enacted the Federal Arbitration Act, 9 U.S.C. § 1 *et seq.* ("FAA"), to reverse the previous "centuries of judicial hostility to arbitration agreements." *Scherk v. Alberto-Culver Co.*, 417 U.S. 506, 510 (1974). Congress sought primarily to ensure judicial enforcement of arbitration agreements between private parties, and secondarily to provide a means for avoiding the expense and delay of litigation. *Dean Witter*, 470 U.S. at 219-20. The FAA, by proclaiming agreements to arbitrate "valid, irrevocable, and enforceable," 9 U.S.C. § 2, gives arbitration agreements the same validity and enforceability enjoyed by every other type of contract. *Gilmer v. Interstate/Johnson Lane Corp.*, 500 U.S. 20, 24 (1991); *Scherk*, 417 U.S. at 511. "Section 2 is a congressional declaration of a liberal federal policy favoring arbitration agreements" *Moses H. Cone Memorial Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 24 (1983). The clarity and force of this "liberal federal policy" require that agreements to arbitrate be "rigorously enforce[d]." *Dean Witter*, 470 U.S. at 221.

STATEMENT OF RELEVANT FACTS

Petitioner Vimar Seguros Y Reaseguros, S.A. ("Vimar") and Bacchus Associates ("Bacchus") filed a complaint in the United States District Court for the District of Massachusetts in Boston, alleging that cargo carried on board the vessel SKY REEFER was damaged in February 1991 because of the negligence of respondent M.H. Maritima, S.A. ("Maritima") and the unseaworthiness of the vessel SKY REEFER. The loss sustained by Vimar and Bacchus because of damage to cargo was alleged to total approximately USD \$1,033,442.90. Joint Appendix ("J.A.") 11-14.

Bacchus, a New York wholesale importer and distributor of perishable fruits, entered a contract with Galaxie Negoce S.A., Casablanca, Morocco, a wholesale supplier of fruit, for the purchase of approximately 130,000 cartons of oranges and 380 cartons of lemons ("the Cargo"). J.A. 38 ¶ 5.

Bacchus required the services of an ocean-going vessel to move the Cargo from Agadir, Morocco to New Bedford, Massachusetts. Bacchus negotiated and entered a charter with Nichiro Corporation, Tokyo, Japan, under date of February 1, 1991 on the "Gencon" charter form entitling Bacchus Associates to the full cargo carrying capacity of the vessel for one voyage from Agadir, Morocco to New Bedford, Massachusetts.¹ J.A. 69-81.

The SKY REEFER loaded the Cargo, which is described

¹ The vessel SKY REEFER was a four hatch refrigerated cargo vessel, bearing official number 18163-89 and registered under and flying the flag of the Republic of Panama. J.A. 12. The vessel was owned by Maritima, a Panamanian corporation, J.A. 12, 16, and was chartered under a "Baltim 1939" form to Honma Senpaku Co., Ltd., Tokyo ("Honma"). J.A. 57-62. Honma in turn chartered the vessel under a "Baltim 1939" form to Nichiro Gyogyo Kaisha, Ltd., Tokyo ("Nichiro"). J.A. 63-68. Nichiro voyage chartered the vessel under a "Gencon" form to Bacchus Associates. J.A. 69-81.

in the bill of lading as 2,052 pallets of oranges and 6 pallets of lemons, at Agadir, Morocco. Under date of February 6, 1991, Agadir/New Bedford Bill of Lading No. 0001 (the "Bill of Lading") was issued on a printed form for the Cargo, "Clean On Board," showing the shipper as Galaxie and the consignee and notify party as Bacchus. J.A. 46-56.

As part of the purchase contract, Bacchus posted a letter of credit. Petitioner's Brief at 6. Upon the Cargo leaving Morocco on board the vessel SKY REEFER, Galaxie presented the Bill of Lading as required by the terms of the letter of credit. *Id.* Galaxie obtained payment for the Cargo, and Bacchus obtained the original Bill of Lading and the right to possession of the Cargo. *Id.*; J.A. 41 ¶ 15.

After departure from Agadir, the vessel SKY REEFER proceeded directly to New Bedford, Massachusetts, for discharge. Upon opening the vessel's hatches for discharge in New Bedford, it became apparent that some damage had been sustained to the Cargo, J.A. 13, consisting generally of damage to cartons. J.A. 39. The cause of this damage is a matter of dispute between the parties, and it is this dispute which awaits resolution by arbitration in Tokyo or by further litigation in Massachusetts.

Bacchus obtained certain rights in respect to damage to Cargo on the SKY REEFER, both as holder of the Bill of Lading and as party to the charter with Nichiro. In choosing to pursue their rights under the Bill of Lading, petitioner, the Spanish insurer of the Cargo, and Bacchus are met with, and attempt to avoid, Clause 3 of the Bill of Lading, entitled "Governing Law and Arbitration." Clause 3 provides:

- (1) The contract evidenced by or contained in this Bill of Lading shall be governed by the Japanese law.
- (2) Any dispute arising from this Bill of Lading shall be

referred to arbitration in Tokyo by the Tokyo Maritime Arbitration Commission (TOMAC) of The Japan Shipping Exchange, Inc. in accordance with the rules of TOMAC and any amendments thereto, and the award given by the arbitrators shall be final and binding on both parties.² J.A. 49.

Bacchus complains that the Bill of Lading presented to it by Galaxie, pursuant to both the purchase and sale agreement and the letter of credit, contains a clause requiring arbitration of any dispute in Tokyo. Bacchus states that it never agreed with Nichiro or Maritima, the vessel owner, for arbitration in Japan and that it received the Bill of Lading after it had lost its ability to negotiate terms. But Bacchus simply failed to negotiate in its purchase and sale agreement with Galaxie a provision for a bill of lading without an arbitration clause, or requiring arbitration in the United States, and Bacchus simply failed to insert in its letter of credit any requirements in respect to dispute resolution clauses in bills of lading.

SUMMARY OF ARGUMENT

1. *The Federal Arbitration Act Governs The Enforcement Of Arbitration Clauses In Maritime Bills Of Lading.*

The First Circuit was correct when it decided that the Federal Arbitration Act, 9 U.S.C. § 1 *et seq.* ("FAA"), governs the enforceability of the arbitration clause contained in this maritime Bill of Lading. A straightforward reading of the plain language of the FAA can lead to no other conclusion. The statute applies specifically to "[m]aritime transactions,"

² If petitioner and Bacchus had proceeded to pursue their rights under the charter with Nichiro, they would have encountered a London arbitration clause.

which are defined to include "bills of lading of water carriers," 9 U.S.C. § 1, and states plainly that "[a] written provision in any maritime transaction . . . to settle by arbitration a controversy thereafter arising out of such . . . transaction . . . shall be valid, irrevocable, and enforceable" 9 U.S.C. § 2.

The decisions of this Court construing and applying the FAA and repeated expressions of the will of Congress support enforcement of this arbitration clause. This Court rigorously enforces the FAA, *see, e.g. Dean Witter Reynolds Inc. v. Byrd*, 470 U.S. 213, 221 (1985), consistent with the "liberal federal policy favoring arbitration" *Moses H. Cone Memorial Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 24 (1983). In the context of international trade, it is particularly important to insist that parties honor their contracts to arbitrate. *See Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614, 629 (1985). By enacting, in 1970, legislation implementing the Recognition and Enforcement of Foreign Arbitral Awards Convention, 9 U.S.C. § 201 *et seq.*, Congress made it clear (if reasonable doubt ever existed) that the strong federal policy favoring arbitration applies with particular force where commerce among nations is involved.

Although the Carriage of Goods by Sea Act, 46 U.S.C. § 1300 *et seq.* ("COGSA"), addresses maritime bills of lading, COGSA does not govern the arbitration clause at issue in this case because, as the First Circuit ruled, the FAA removes such clauses from COGSA's grasp. Thus, petitioner's contention that foreign arbitration results in a lessening of the carrier's liability in contravention of COGSA, 46 U.S.C. § 1303(8), even if it were true, is irrelevant.

Two fundamental rules of statutory construction mandate this result. First, a specific statute such as the FAA prevails over a general statute such as COGSA in the event of a con-

flict. *Radzanower v. Touche Ross & Co.*, 426 U.S. 148, 153 (1976). The FAA is more specific because it addresses precisely the type of clause in question, while COGSA addresses bills of lading generally. Second, later enactments of Congress are presumed to prevail over earlier ones. *See, e.g., Watt v. Alaska*, 451 U.S. 259, 266 (1981). COGSA was enacted in 1936, while the FAA, originally enacted in 1925, was reenacted as positive law in 1947, thus making it the controlling statute. *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200, 204 n.4 (2d Cir. 1967).

2. The Arbitration Clause Is Enforceable Under The FAA.

As the holder of the Bill of Lading, petitioner is bound by its terms. Petitioner may not avoid the arbitration clause on the ground of adhesion. Arbitration agreements are to be enforced according to the basic principles of ordinary contract law, *Fisser v. International Bank*, 282 F.2d 231, 233 (2d Cir. 1960), and provisions in an adhesionary contract are valid and enforceable in the absence of fraud, undue oppression or unconscionability. *See, e.g., Finkle and Ross v. A.G. Becker Paribas, Inc.*, 622 F.Supp. 1505, 1512 (S.D.N.Y. 1985). Such grounds have not been alleged, and do not exist, in the present case.

The savings clause of the FAA does not allow petitioner to evade arbitration. That clause provides that agreements to arbitrate are enforceable "save upon such grounds as exist at law or in equity for the revocation of any contract." 9 U.S.C. § 2. A party may avoid an arbitration provision under the savings clause when that provision has been brought about by fraud or overwhelming economic power, or where Congress has clearly expressed its intent to preclude waiver of a judicial forum for the vindication of other federal statutory rights. *Mitsubishi*, 473 U.S. at 627. Petitioner has not alleged fraud or overwhelming economic power, and there is no indi-

cation in either the text or the legislative history of COGSA that Congress intended COGSA claims to be nonarbitrable. Indeed, petitioner concedes that domestic arbitration of COGSA claims is permissible. Because the FAA provides no basis for distinguishing between arbitration clauses on the basis of the location of the forum of the proceedings, claims which are arbitrable domestically are also arbitrable abroad.

3. *Foreign Arbitration Clauses Are Distinguishable From Foreign Jurisdiction Clauses.*

Petitioner incorrectly equates foreign arbitration clauses with foreign jurisdiction clauses and argues that foreign arbitration clauses should be held to be unenforceable for the same reasons that courts have refused to enforce foreign jurisdiction clauses. Petitioner's argument is flawed in two respects. First, Congress, by enacting the FAA, has declared that arbitration clauses in maritime bills of lading are "valid, irrevocable, and enforceable." 9 U.S.C. §§ 1, 2. Congress has not, however, enacted a corresponding federal statute requiring enforcement of foreign jurisdiction clauses.

Second, petitioner's argument ignores the fundamental differences between arbitration and litigation. The courts that have held foreign *jurisdiction* clauses unenforceable under COGSA have done so, in part, on the grounds that such clauses constitute an actual or a potential lessening of the carrier's liability by requiring the presentation of a cargo claim in a foreign forum with no assurance that the judge there will apply COGSA "in the same way as would an American tribunal subject to the uniform control of the Supreme Court" *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200, 204 (2d Cir. 1967). Since the parties to an arbitration proceeding — whether it is conducted in the United States or in a foreign country — also lack assurance that the arbitrators will apply the law as would an American court, application of the reasoning in the foreign jurisdiction clause

cases to *arbitration* clauses in maritime bills of lading would lead to the conclusion that all such clauses are invalid. Such a result flies in the face of the explicit language of the FAA, which provides that arbitration clauses in maritime bills of lading are valid, irrevocable and enforceable. Indeed, petitioner concedes that arbitration, as such, does not violate COGSA. The case at bar involves an arbitration clause, and petitioner's reliance on cases involving foreign jurisdiction clauses is misplaced.

4. *The Reference To Japanese Law In The Bill Of Lading Does Not Render The Arbitration Clause Unenforceable.*

The Bill of Lading provides for the application of Japanese law. J.A. 49 at ¶3(1). It also, however, provides for the application of COGSA in certain circumstances. J.A. 56 at ¶19. The enforceability of the arbitration provision should not turn on which of these laws will be applied by the arbitrators. The Japanese Hague Rules and COGSA are substantively the same in all relevant respects. The two statutes are national codifications of the international Hague Rules, and both reflect the same legal principles regarding the rights and liabilities of shippers and carriers set forth in that international agreement. Thus, reliance by the arbitrators on one of these statutes rather than the other will not result in the application of a different legal standard.

5. *The Wesermunde Decision Is Wrong.*

In *State Establishment for Agric. Prod. Trading v. M/V Wesermunde*, 838 F.2d 1576 (11th Cir.), *cert. denied*, 488 U.S. 916 (1988), on which petitioner relies, the court ruled that a provision in a maritime bill of lading to which COGSA applies by its own force requiring "arbitration in a *foreign* country that has no connection with either the performance . . . or the making of the bill of lading contract . . . would

conflict with COGSA's general purpose of not allowing carriers to lessen their risk" of liability and would, as a result, be "void and utterly without effect." 838 F.2d at 1581 (emphasis in original). The decision is incorrect. The opinion in *Wesermunde* contains no meaningful analysis of the FAA, the application of the FAA to foreign arbitration clauses, or the method by which conflicts between the FAA and COGSA should be resolved. The court proceeded on the incorrect assumption that COGSA is controlling. The decision is wrong because the FAA controls, and it, not COGSA, establishes the legal standards governing the enforceability of arbitration clauses in maritime bills of lading. The *Wesermunde* court's requirement that there be a "connection" between the foreign arbitration forum and the making or performance of the bill of lading contract is not supported by or consistent with the plain language of the FAA.

6. *The Arbitration Clause In Issue Does Not "Lessen" The Carrier's Liability.*

Petitioner asserts that the arbitration clause in the Bill of Lading violates section 3(8) of COGSA because enforcement of the clause would result in a "lessening" of the carrier's liability. Petitioner relies on *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200 (2d Cir. 1967), to establish the meaning of the word "lessening" as it is used in COGSA. The court in *Indussa*, however, construed the term too broadly. The "lessening" language of section 3(8) refers specifically to the carrier's "liability" under COGSA, and it should be read to apply to, and only to, those liabilities and responsibilities described in other sections of COGSA. Such a reading gives full effect to the lessening provision and prohibits, for example, provisions in bills of lading which purport to relieve a carrier of its statutory duty to load, stow and care for the cargo properly and carefully, or to relieve a carrier of its duty to exercise due diligence to make the vessel seaworthy. Construed in this manner, the lessening provision of section 3(8) of COGSA does not prohibit

the enforcement of the arbitration clause in the Bill of Lading.

ARGUMENT

A. THE FEDERAL ARBITRATION ACT CONTROLS ARBITRATION CLAUSES IN MARITIME BILLS OF LADING.

1. *The Arbitration Clause Is Governed By The Federal Arbitration Act.*

The Federal Arbitration Act, 9 U.S.C. § 1 *et seq.* ("FAA"), commands enforcement of a written provision to settle controversies by means of arbitration in any maritime transaction. In this regard, 9 U.S.C. § 2 provides, in pertinent part:

A written provision in any maritime transaction or a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such a contract or transaction . . . shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract. Id. (emphasis added).

"[M]aritime transactions" are defined to include "bills of lading of water carriers."³

Further, the FAA specifically contemplates both foreign and domestic arbitration. Section 2 provides that the FAA

³ 9 U.S.C. § 1 provides:

'Maritime transactions,' as herein defined, means charter parties, bills of lading of water carriers, . . . or any other matters in foreign commerce which, if the subject of controversy, would be embraced within admiralty jurisdiction; 'commerce,' as herein defined, means commerce among the several States or with foreign nations . . . *Id.* (emphasis added).

applies to a written provision in "any maritime transaction." 9 U.S.C. § 2 (emphasis added). The definition of "maritime transactions" includes not only bills of lading, but also "any other matters in foreign commerce."⁴ 9 U.S.C. § 1 (emphasis added). Thus, the arbitration clause in the maritime bill of lading at issue, which requires the parties to this international transaction to arbitrate in Tokyo, is precisely the type of agreement governed by the plain terms of the FAA.

2. *Supreme Court Precedent And Congressional Enactments Establish That The FAA Must Be Applied Rigorously, Consistent With The Federal Policy Favoring Arbitration.*

Congress and the Supreme Court alike have repeatedly expressed their support for arbitration. Abundant case law from this Court and the lower courts, as well as statutory guidance from Congress, confirms that arbitration is a favored procedure and that arbitration clauses should be favored accordingly.

Many times over, this Court has reinforced the principle that the FAA embodies a "liberal federal policy favoring arbitration agreements" *Moses H. Cone Memorial Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 24 (1983); see also *New England Energy Inc. v. Keystone Shipping Co.*, 855 F.2d 1, 4 (1st Cir. 1988) (citing cases), *cert. denied*, 489 U.S. 1077 (1989). "[T]he preeminent concern of Congress in passing the Act was to enforce private agreements into which

⁴ Moreover, the district courts have the authority to stay an action under 9 U.S.C. § 3 pending arbitration in the United States or abroad. See, e.g., *Midland Tar Distillers, Inc. v. M/T Lotos*, 362 F. Supp. 1311, 1315 (S.D.N.Y. 1973) ("It is well settled that provision for arbitration to take place in a foreign country does not affect the power of this court to stay the action"); *Kurt Orban Co. v. S/S Clymenia*, 318 F. Supp. 1387, 1390 (S.D.N.Y. 1970) (citing cases).

parties had entered,' a concern which 'requires that [the Supreme Court] rigorously enforce agreements to arbitrate.'" *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614, 625-26 (1985) (quoting *Dean Witter Reynolds Inc. v. Byrd*, 470 U.S. 213, 221 (1985)).

The foregoing principles are to be applied with particular force when the transaction in issue involves international commerce. *Mitsubishi*, 473 U.S. at 629. In *Mitsubishi*, the Court stressed the importance of arbitration in the context of international trade and ordered the parties to arbitrate antitrust issues in Japan, pursuant to an arbitration clause contained in the contract between the parties. The Court concluded that:

concerns of international comity, respect for the capacities of foreign and transnational tribunals, and sensitivity to the need of the international commercial system for predictability in the resolution of disputes require that we enforce the parties' agreement

Id.

In accordance with the Court's directives encouraging arbitration, numerous lower courts have enforced foreign arbitration clauses in maritime bills of lading.⁵ The District Court for the District of Massachusetts, in both the instant action and in an earlier case involving strikingly similar facts, followed this course. See *Citrus Marketing Board of Israel*

⁵ See *Japan Sun Oil Co., Ltd. v. M/V Maasdijk*, 864 F. Supp. 561 (E.D. La. 1994); *Kaystone Chem., Inc. v. Bow-Sun*, 1989 A.M.C. 2976 (S.D.N.Y. 1989); *Mid South Feeds, Inc. v. M/V Aqua Marine*, 1988 A.M.C. 437 (S.D. Ga. 1986); *Fakieh Poultry Farms v. M/V Mulhiem*, No. 85 Civ. 2657 (WCC), 1986 WL 12534 (S.D.N.Y. Oct. 24, 1986); *Mitsubishi Shoji Kaisha Ltd. v. MS Galini*, 323 F.Supp. 79 (S.D. Tex. 1971); cf. *Travelers Indem. Co. v. M/V Mediterranean Star*, 1988 A.M.C. 2483 (S.D.N.Y. 1988).

v. *M/V Ecuadorian Reefer*, 754 F.Supp. 229, 232-234 (D. Mass. 1990) (Keeton, J.).

Congress in 1970 reaffirmed its commitment to the enforcement of foreign arbitration clauses, originally expressed through the FAA, by adopting the Convention on the Recognition and Enforcement of Foreign Arbitral Awards ("Arbitration Convention"), 21 U.S.T. 2517, T.I.A.S. No. 6997, 330 U.N.T.S. 3, *reprinted in* 6A Benedict on Admiralty, Doc. No. 7-3 at 7-16-20 (6th ed. 1993). Congress enacted Chapter 2 of Title 9 (9 U.S.C. § 201 *et seq.*) to implement the United States' obligations under that Convention.⁶ Article II(1) of the Arbitration Convention states:

Each Contracting State shall recognize an agreement in writing under which the parties undertake to submit to arbitration all or any differences which have arisen or which may arise between them in respect of a defined legal relationship, whether contractual or not, concerning a subject matter capable of settlement by arbitration.

Chapter 2 authorizes courts to compel arbitration within and without the United States. 9 U.S.C. § 206. Further, that statute specifically applies the terms of the Arbitration Convention to those agreements described in section 2 of the FAA, such as the Bill of Lading in issue. 9 U.S.C. § 202.⁷ Finally, this implementing legislation incorporates the provisions of the FAA without any indication of an intention to limit their effect based on any other federal statute. 9 U.S.C. § 208.

⁶ Japan is also a signatory. 6A Benedict on Admiralty, Doc. No. 7-3 at 7-22 (6th ed. 1993).

⁷ Section 202 states, "An arbitration agreement or arbitral award arising out of a legal relationship, whether contractual or not, which is considered as commercial, including a transaction, contract, or agreement described in section 2 of this title, falls under the Convention."

The language of the FAA, this Court's previous holdings, and Congressional action make it clear that arbitration provisions must be enforced rigorously, with doubts to be resolved in favor of arbitration. Where, as here, a bill of lading relied upon by the holder contains an unambiguous provision requiring that all claims and disputes be arbitrated, that provision is binding on the holder and the issuer, and must be enforced. Simply put, petitioner cannot have it both ways — reliance upon the Bill of Lading to recover damages will carry with it the requirement of arbitration pursuant to that Bill of Lading's written arbitration provision. That conclusion is compelled by the FAA, which makes the arbitration clause contained in the maritime bill of lading involved in this international transaction valid, irrevocable and enforceable.

B. FUNDAMENTAL PRINCIPLES OF STATUTORY CONSTRUCTION ESTABLISH THAT THE FAA, NOT THE CARRIAGE OF GOODS BY SEA ACT, CONTROLS.

Petitioner claims that the arbitration clause in the Bill of Lading is void because it violates section 3(8) of the Carriage of Goods by Sea Act, 46 U.S.C. § 1300 *et seq.* ("COGSA"), in that it allegedly results in a "lessening" of the carrier's liability under COGSA. Although COGSA applies by its own force to the Bill of Lading, the FAA alone is controlling with respect to the arbitration clause which the Bill of Lading contains. Two significant rules of statutory construction lead directly to this conclusion.

1. *The FAA Is More Specific Than COGSA With Respect To Arbitration Clauses In Maritime Bills of Lading, And Therefore It Controls.*

A primary rule of statutory construction is that a more specific statute prevails over a general one. *Radzanower v.*

Touche Ross & Co., 426 U.S. 148, 153 (1976); Sutherland Stat. Constr. § 51.05 (5th ed. 1992). In the event of a statutory conflict, "[w]here there is no clear intention otherwise, a specific statute will not be controlled or nullified by a general one, regardless of the priority of enactment." *Morton v. Mancari*, 417 U.S. 535, 550-51 (1974).

In this case, the FAA is the more specific statute. It addresses precisely the type of clause in issue: an arbitration clause in a maritime bill of lading. To be sure, COGSA applies to a more narrow group of contracts, *i.e.*, "[e]very bill of lading or similar document of title which is evidence of a contract for the carriage of goods by sea to or from ports of the United States, in foreign trade" 46 U.S.C. § 1300. But COGSA, as reflected in 46 U.S.C. § 1303(8), purports to cover "[a]ny clause, covenant, or agreement" contained in those contracts. (Emphasis added.) The FAA, while it applies to a broader range of contracts than COGSA, addresses only one type of provision in those contracts, *i.e.*, arbitration provisions, and it makes that type of provision "valid, irrevocable, and enforceable." 9 U.S.C. § 2. The FAA focuses directly on arbitration clauses in maritime bills of lading, while COGSA covers a multitude of aspects of bills of lading.

2. The FAA, As The Later-Enacted Statute, Controls.

It is also a fundamental principle of statutory construction that later enactments of Congress are presumed to prevail over earlier ones. *See, e.g., Watt v. Alaska*, 451 U.S. 259, 266 (1981). The FAA was originally enacted in 1925. COGSA was enacted in 1936. The FAA was reenacted as positive law in 1947. On the strength of this chronology, the First Circuit in the present case, and the Second Circuit, have concluded that the FAA, as the later-enacted statute, governs. *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200, 204 n.4 (2d Cir. 1967).

Petitioner relies on *Indussa, supra*, in support of its assertion

that foreign arbitration clauses are void under COGSA.⁸ In *Indussa*, the court held that a choice of forum clause was void under section 3(8) of COGSA. 377 F.2d at 204. The court was careful to note, however, that its "ruling does not touch the question of *arbitration* clauses in bills of lading which require this to be held abroad." *Id.* at 204 n.4 (emphasis added). Judge Friendly went on to note that "if there be any inconsistency between [COGSA and the FAA], presumably the [FAA] would prevail by virtue of its reenactment as positive law in 1947." *Id.* (citations omitted). Other courts have followed this reasoning. *See, e.g., Nissho Iwai Am. Corp. v. M/V Sea Bridge*, No. Civ. A. R-90-1238, 1991 WL 182117, at *7 (D. Md. Apr. 25, 1991) (enforcing Tokyo arbitration clause and following *Ecuadorian Reefer*, 754 F.Supp. 229); *Uniao de Transportadores v. Companhia de Navegacao*, 84 F.Supp. 582, 584 (E.D.N.Y. 1949) ("if Congress in 1947, thought that the Carriage of Goods by Sea Act of 1936 affected or forbade any provisions in the Arbitration Act of 1947, it would and could have plainly avoided any such confusion").⁹

Even if, as petitioner contends, the re-enactment of the FAA as positive law in 1947 does not stand on the same footing as an initial enactment or a re-enactment which incorporates substantive changes in the statute, Petitioner's Brief at 37-38, the enactment in 1970 of Chapter 2 of Title 9, the Convention on the Recognition and Enforcement of Foreign Arbitral Awards, demonstrates Congress's continuing intent that foreign arbitration clauses, including those contained in maritime bills of lading, be valid, irrevocable, and enforceable.¹⁰

⁸ See Petitioner's Brief beginning at 15.

⁹ See also cases cited *infra* n. 5.

¹⁰ A basic principle of statutory construction requires that an Act of Congress, like COGSA, not be construed so as to cause the United States to violate a treaty obligation. *Trans World Airlines, Inc. v. Franklin Mint Corp.*, 466 U.S. 243, 252 (1984). Moreover, as is the case with federal statutes, where there is a conflict between a more recent treaty, such as the Arbitration Convention, and an older federal statute, such as COGSA, the

The enactment of Chapter 2 supports respondent's position that the FAA is controlling. Thirty-four years after COGSA was passed, Congress revisited the issue of arbitration, specifically *foreign* arbitration, and legislated in favor of arbitration clauses identical to the one petitioner seeks to circumvent. Thus, with Chapter 2, Congress essentially reaffirmed the FAA, without reservation as to any other federal statute, including COGSA.¹¹

former prevails. *Cook v. United States*, 288 U.S. 102, 118-19 (1933); *Chew Heong v. United States*, 112 U.S. 536, 550 (1884); Restatement (Third) of the Law of Foreign Relations of the United States §115(2) (1987).

¹¹ The arbitration clause at issue here is valid and enforceable under the Arbitration Convention as well as the FAA. The test for enforcing such clauses under the Arbitration Convention is narrow, and its four requirements are met here:

(1) There is an agreement in writing to arbitrate the subject matter of the dispute; (2) The agreement provides for arbitration in Japan, a signatory of the Convention, *see supra* n. 6; (3) The agreement arises out of a contract governed by the statute, 9 U.S.C. § 202; and (4) Respondent Maritima, a party to the agreement, is a Panamanian and not an American citizen. *Riley v. Kingsley Underwriting Agencies, Ltd.*, 969 F.2d 953, 959 (10th Cir.), *cert. denied*, 113 S. Ct. 658 (1992).

The Convention's savings clause, which provides that an arbitration agreement which satisfies the above test remains unenforceable if it is "null and void, inoperative or incapable of being performed," Convention, Article II (3), is to be construed narrowly. *Ledee v. Ceramiche Ragno*, 684 F.2d 184, 186-187 (1st Cir. 1982). It encompasses "only those situations — such as fraud, mistake, duress, and waiver — that can be interpreted neutrally on an international scale." *Id.* at 187. Not even an agreement contrary to "the parochial interests of the nation," as reflected in federal statutes, can be "null and void" under that savings clause. *Id.*

Furthermore, under the Convention, "[a]ny law or decision prior in time to this express undertaking must be construed as consistent with the Convention or set aside by it." *Sedco, Inc. v. Petroleos Mexicanos Mexican Nat. Oil*, 767 F.2d 1140, 1148 (5th Cir. 1985). Therefore, the Convention removes foreign arbitration clauses from the grasp of all other federal statutes, including COGSA, which could prevent foreign arbitration from taking place.

The legislative history of the 1970 enactment is instructive:

In the committee's view, the provisions of S. 3274 will serve the best interests of Americans doing business abroad by encouraging them to submit their commercial disputes to impartial arbitration for awards which can be enforced in both U.S. and foreign courts. The committee recommends, therefore, that the House approve S. 3274 at an early date.

H.R. Rep. No. 91-1181, 91st Cong., 2nd Sess. 2 (1970), *reprinted in* 1970 U.S.C.C.A.N. 3601, 3602. The legislative history further notes that "[t]he Federal Arbitration Act, which has been codified in title 9 of the United States Code, embodies basic national policy concerning arbitration." *Id.* at 3603 (letter dated December 3, 1969, from Mr. H.G. Torbert, Jr., Acting Assistant Secretary for Congressional Relations, Department of State, to the Speaker, House of Representatives).

C. THIS ARBITRATION CLAUSE IS VALID, IRREVOCABLE AND ENFORCEABLE UNDER THE FAA.

Petitioner maintains that foreign arbitration clauses in maritime bills of lading are invalid because bills of lading are contracts of adhesion, and therefore the parties to these contracts never actually agree to arbitrate. Petitioner also argues that the FAA's savings clause permits it to avoid arbitration in accordance with the terms of the Bill of Lading. The latter argument is based on the erroneous premise that COGSA invalidates the very contractual provisions the FAA exists to validate. These arguments are without merit and should be rejected.

1. *The Bill Of Lading Contains A Valid Written Provision Establishing An Agreement to Arbitrate.*

Arbitration clauses, including those found in maritime contracts, must be construed according to principles of ordinary contract law. *David L. Threlkeld & Co. v. Metallgesellschaft Ltd.*, 923 F.2d 245, 249 (2d Cir.) *cert. dismissed*, 501 U.S. 1267 (1991); *Valero Refining, Inc. v. M/T Lauberhorn*, 813 F.2d 60, 64 (5th Cir. 1987); *Fisser v. International Bank*, 282 F.2d 231, 233 (2d Cir. 1960). Under those principles petitioner, as a holder of the Bill of Lading, is bound by its terms, including the arbitration clause.¹²

Faced with the dilemma of relying on the Bill of Lading as the basis for its claim, but wishing to escape the Bill of Lading's explicit arbitration provision, petitioner argues that there was no agreement to arbitrate because bills of lading are contracts of adhesion. Petitioner's argument is unavailing.

The plain language of the FAA demonstrates that a foreign arbitration clause is not invalid simply because it is contained in what may be a contract of adhesion. It is true, as petitioner contends, that maritime bills of lading are frequently deemed contracts of adhesion because they appear on preprinted forms and contain numerous boilerplate provisions over which the parties rarely, if ever, negotiate.¹³ *The Caledonia*, 157 U.S.

¹² The consignee Bacchus, as the holder of a negotiable document, is bound by its terms. *See Kaystone Chem., Inc. v. Bow-Sun*, 1989 A.M.C. 2976, 2982 (S.D.N.Y. 1989) (consignee bound by bill of lading arbitration clause); *Midland Tar Distillers, Inc. v. M/T Lotos*, 362 F. Supp. 1311, 1315 (S.D.N.Y. 1973) (plaintiff consignee bound by arbitration clause not appearing on face of bill of lading at moment plaintiff became holder of the bill); *see also Wells Fargo Bank v. London S.S. Owner's Mut. Ins. Ass'n. Ltd.*, 408 F. Supp. 626, 629 (S.D.N.Y. 1976), and cases cited therein.

¹³ As adhesion contracts, bills of lading are construed strictly against the carrier where there is an ambiguity. *All Pacific Trading v. M/V Hanjin Yosu*, 7 F.3d 1427, 1431 (9th Cir. 1993). There is no ambiguity here; the clause requiring arbitration is crystal clear, and moreover must be construed

124 (1895); *All Pacific Trading v. M/V Hanjin Yosu*, 7 F.3d 1427, 1431 (9th Cir. 1993); *Interocean S.S. Corp. v. New Orleans Cold Storage & Warehouse Co.*, 865 F.2d 699, 703 (5th Cir. 1989). It is equally true, however, that the FAA specifically states that arbitration clauses in "bills of lading of water carriers" are valid, irrevocable and enforceable, even though Congress must be presumed to have been aware of the general consensus as to the adhesionary nature of those bills of lading. This Court has stated "time and again that courts must presume that a legislature says in a statute what it means and means in a statute what it says there." *Connecticut Nat'l Bank v. Germain*, 112 S. Ct. 1146, 1149 (1992). But if, as petitioner contends, arbitration clauses in maritime bills of lading are unenforceable because such bills of lading are adhesionary, then the language of the FAA which says that those clauses are "valid, irrevocable, and enforceable" is meaningless. The FAA is more sensibly read, as the District Court below stated, as "a statutory determination that arbitration clauses in maritime bills of lading are not adhesional *per se* or generally invalid." *Cert. Pet. App.B at 20a* (emphasis in original). This result is consistent with case law enforcing preprinted form contracts.¹⁴

2. *A Contract Is Not Void Simply Because It Is Adhesionary.*

The FAA was intended to place arbitration agreements on the same footing as other contracts. *Dean Witter Reynolds Inc. v. Byrd*, 470 U.S. 213, 219 (1985) (quoting H.R. Rep. No. 96, 68th Cong., 1st Sess. 1 (1924)). Under general prin-

with a generous eye towards enforcing the parties' agreement to arbitrate. *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614, 627 (1985).

¹⁴ The district court in this case found that the petitioner had not demonstrated that the arbitration clause in the bill of lading was adhesional. *Cert. Pet. App.B at 19a*.

ciples of contract law, an adhesionary contract is valid absent some form of unfairness, undue oppression or unconscionability, particularly where, as here, the contract is between business entities. *Finkle and Ross v. A.G. Becker Paribas, Inc.*, 622 F.Supp. 1505, 1512 (S.D.N.Y. 1985); *see also M/V American Queen v. San Diego Marine Constr. Corp.*, 708 F.2d 1483, 1489 (9th Cir. 1983) (in commercial transaction between two business entities, court refuses to rewrite contract absent evidence that one party unfairly exploited a position of advantage). This principle has been applied in respect to arbitration provisions. *See, e.g., Stedor Enters., Ltd. v. Armtex, Inc.*, 947 F.2d 727 (4th Cir. 1991) (arbitration agreement enforceable despite being contained in preprinted contract which plaintiff failed to read).

Petitioner does not allege fraud, duress or unconscionability, and the facts in the record would not support any such allegation. Petitioner is the Spanish insurer of the Cargo. The consignee of the goods, Bacchus, is a major importer/wholesaler of fruit throughout New England and is familiar with the workings of international commerce and the consummation of international transactions. J.A. 39. Indeed, Bacchus was deeply involved in the overall transaction for the purchase and shipment of the Cargo, negotiated the charter party for the voyage in issue with Nichiro,¹⁵ and had the opportunity to negotiate for bill of lading terms if it wished.

Moreover, this Court has explicitly declined to adopt the reasoning of a lower court holding that a non-negotiated forum-selection clause is never enforceable simply because it is not the subject of bargaining. *Carnival Cruise Lines, Inc. v. Shute*, 499 U.S. 585, 593 (1991). In *Shute*, this Court enforced a forum-selection clause contained in a cruise line's

¹⁵ J.A. 69. That charter party contains a clause providing for arbitration in London. J.A. 71.

passage contract ticket despite its recognition that the contract was adhesionary in that plaintiff passengers did not negotiate the terms of the contract and did not have bargaining parity with the defendant cruise line. *Id.* Clearly, a contractual provision is not void simply because it is adhesionary, even in the absence of the FAA.

3. *The Savings Clause Contained In 9 U.S.C. § 2 Offers Petitioner No Grounds For Circumventing The Arbitration Clause.*

The savings clause of section 2 of the FAA allows a party to escape its agreement to arbitrate "upon such grounds as exist at law or in equity for the revocation of any contract." 9 U.S.C. § 2. This clause permits avoidance of an arbitration agreement where that agreement is brought about by fraud or overwhelming economic power, or where Congress has clearly expressed its intent to preclude waiver of a judicial forum for the vindication of other federal statutory rights. *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614, 627 (1985); *see also Finkle and Ross v. A.G. Becker Paribas, Inc.*, 622 F.Supp. 1505, 1512 (S.D.N.Y. 1985) (showing of unfairness, oppression or unconscionability necessary to make arbitration agreement unenforceable).

A party must be held to its agreement to arbitrate "unless Congress itself has evinced an intention to preclude a waiver of judicial remedies for the statutory rights at issue." *Mitsubishi*, 473 U.S. at 628. If Congress had such an intention, it must be deduced from the text and legislative history of the relevant statute. *Id.* The burden is on the party opposing arbitration to demonstrate that Congress intended to preclude arbitration, or that arbitration conflicts with the underlying purpose of the other statute. *Rodriguez de Quijas v. Shearson/Am. Express Inc.*, 490 U.S. 477, 483 (1989); *Shearson/Am. Express Inc. v. McMahon*, 482 U.S. 220, 226-27 (1987).

a. *Arbitration Of COGSA Claims Is Permissible, Whether The Arbitral Forum Is Foreign Or Domestic.*

Petitioner opposes arbitration and argues that COGSA precludes waiver of a judicial forum only where *foreign* arbitration is concerned. However, the location of any arbitration proceeding becomes, on analysis, of substantially less importance than might appear. In respect to a claim under COGSA, or any other claim created or governed by statute, such a claim must either be subject to arbitration anywhere, or not subject to arbitration at all. If Congress has indicated that claims arising under a statute such as COGSA may only be resolved in a judicial forum, then such claims may not be arbitrated, and any agreement to arbitrate such a statutory claim is unenforceable as a result of the savings clause. If, however, Congress has not indicated an intent to make statutory claims nonarbitrable, then those statutory claims may be arbitrated anywhere.¹⁶ The FAA provides no justification for restricting arbitration based on its location. A claim which is arbitrable can be arbitrated in Tokyo just as well as in Boston.

Analysis of the text and legislative history of COGSA fails to reveal any evidence of a Congressional intent to require COGSA claims to be resolved in a judicial forum.¹⁷ Indeed,

¹⁶ An agreement to arbitrate claims in an international forum of dubious safety could be avoided on the grounds that it would be unconscionable to force the parties to arbitrate in an unsafe location, and not because of anything intrinsically wrong with arbitration. The agreement in this case calls for arbitration in Tokyo, a forum as safe and stable as any in the United States.

¹⁷ In recent years, this Court has declared that many important statutory claims are subject to arbitration. See, e.g., *Gilmer v. Interstate/Johnson Lane Corp.*, 500 U.S. 20 (1991) (ADEA claims); *Rodriguez de Quijas v. Shearson/Am. Express Inc.*, 490 U.S. 477 (1989) (claims arising under the Securities Act of 1933); *Shearson/Am. Express Inc. v. McMahon*, 482 U.S. 220 (1987) (RICO claims); *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614 (1985) (Sherman Act claims).

petitioner concedes that COGSA claims may be arbitrated in the United States.¹⁸ Since COGSA claims can be arbitrated, the fact that this particular written provision calls for arbitration in Tokyo offers no basis for avoidance under the savings clause. The FAA makes no distinction between foreign and domestic arbitration.¹⁹ Agreements to arbitrate must be deemed enforceable or not enforceable without regard to the location in which the arbitration is to take place.

b. *Uniform Enforcement Of Arbitration Clauses Is Consistent With The Underlying Purposes Of COGSA.*

Arbitration is consistent with the purposes of COGSA, because COGSA rights can effectively be vindicated in an arbitral forum. See *Gilmer v. Interstate/Johnson Lane Corp.*, 500 U.S. 20, 28 (1991) (quoting *Mitsubishi*, 473 U.S. at 637). Further, uniform enforcement of foreign arbitration clauses supports the policies underlying both COGSA and the FAA.

COGSA, as a codification of the internationally agreed-upon Hague Rules, was "part of an international effort to achieve uniformity and simplification of bills of lading used

¹⁸ Relying on *State Establishment for Agric. Prod. Trading v. M/V Wesermunde*, 838 F.2d 1576 (11th Cir.), cert. denied, 488 U.S. 916 (1988), petitioner acknowledges that "arbitration as such does not violate COGSA." Petitioner's Brief at 19. Given petitioner's central argument that "foreign arbitration clauses [in maritime bills of lading] are invariably impermissible," Petitioner's Brief at 20 (emphasis added), it follows that any arbitration that would be permissible must occur in the United States.

¹⁹ The legislative history of the FAA is replete with references to international transactions. For example, it was stated that the FAA "would go a long way towards harmonizing differences in connection with transactions not only as regards interstate commerce, but between citizens of this country and foreign countries." Arbitration of Interstate Commercial Disputes: Joint Hearing Before the Subcommittee of the Committees on the Judiciary, 68th Cong., 1st Sess., on S. 1005 and H.R. 646 (statement by Hon. John B. Kendrick, Senator from the State of Wyoming).

in international trade." *Union Ins. Soc'y of Canton, Ltd. v. S.S. Elikon*, 642 F.2d 721, 723 (4th Cir. 1981). It serves the further purpose of enhancing the negotiability of ocean bills of lading. *Id.* Thus COGSA, no less than the FAA, was designed to contribute to harmonizing trade among the nations of the world. Uniform enforcement of arbitration clauses, both foreign and domestic, advances that ultimate goal by demonstrating respect for international trading partners and avoiding protracted litigation about the enforceability of such clauses.

c. *The Alleged Illegality Of Foreign Arbitration Clauses Under COGSA Is Not A Ground For Avoiding Arbitration.*

In a related argument, petitioner asserts that the arbitration clause lessens the carrier's liability, thereby violating COGSA. This, according to petitioner, makes the arbitration clause illegal. Because illegality may be sufficient grounds for the avoidance of any contract, petitioner then leaps to the conclusion that the arbitration clause here is invalid.

However, the FAA is the controlling statute for the reasons set forth *supra*, at Sections A and B, and COGSA is therefore irrelevant to the enforceability of arbitration agreements in maritime bills of lading. The FAA specifically makes arbitration clauses in maritime bills of lading "valid, irrevocable, and enforceable." 9 U.S.C. § 2. Petitioner, by ignoring all of the language of the FAA which precedes the savings clause, argues essentially that the arbitration clause at issue here is illegal precisely because it is an arbitration clause in a maritime bill of lading — the very type of clause which the FAA unequivocally declares to be legal.

The conclusion that the FAA, by its explicit terms, controls with regard to foreign arbitration clauses in maritime bills of lading is compelled not only by the statute itself, which reflects the express will of Congress, but also by the decisions of this Court. The written arbitration provision contained in the Bill of Lading constitutes an enforceable agreement to arbitrate, and the savings clause of section 2 of the FAA provides no grounds for avoidance of that arbitration agreement. Consistent with the policy of the FAA, the arbitration clause in issue, as the First Circuit concluded, must be enforced.

D. PETITIONER'S RELIANCE ON FOREIGN JURISDICTION CLAUSE CASES IS MISPLACED.

Petitioner asserts that the arbitration clause in the Bill of Lading is unenforceable because it lessens the vessel owner's liability in contravention of section 3(8) of COGSA. 46 U.S.C. § 1303(8). As support for its position, petitioner relies heavily on cases which have held foreign jurisdiction and related foreign law clauses in maritime bills of lading to be unenforceable under COGSA. Petitioner's Brief at 14-17. This analytical approach is flawed, and it should be rejected.

1. *Arbitration Clauses Are Distinguishable From And Must Be Treated Differently Than Foreign Jurisdiction Clauses.*

Petitioner accurately notes that courts of appeals and district courts have held that foreign jurisdiction clauses in maritime bills of lading lessen the carrier's liability and are void under COGSA.²⁰ Petitioner's Brief at 14-16. Those courts have

²⁰ See, e.g., *Hughes Drilling Fluids v. M/V Luo Fu Shan*, 852 F.2d 840 (5th Cir. 1988), *cert. denied*, 489 U.S. 1033 (1989); *Conklin & Garret, Ltd. v. M/V Finnrose*, 826 F.2d 1441 (5th Cir. 1987); *Union Ins. Soc'y of Canton, Ltd. v. S.S. Elikon*, 642 F.2d 721 (4th Cir. 1981); *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200 (2d Cir. 1967); *Underwriters at Lloyd's of London v. M/V Steir*, 773 F. Supp. 523 (D.P.R. 1991).

construed COGSA's "lessening" provision broadly, and have found that bill of lading clauses requiring litigation of cargo claims in a foreign court deprive the cargo claimant of the assurance that the trial court will apply COGSA "in the same way as would an American tribunal subject to the uniform control of the Supreme Court" *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200, 204 (2d Cir. 1967); accord, *Conklin & Garret, Ltd. v. M/V Finnrose*, 826 F.2d 1441, 1443 (5th Cir. 1987). In some cases, courts have also concluded that the expense and inconvenience of litigating cargo claims in foreign courts make it more likely that cargo interests will accept less in settlement than they would if their claims were subject to litigation in the United States. *Indussa*, 377 F.2d at 203; *Underwriters at Lloyd's of London v. M/V Steir*, 773 F.Supp. 523, 527 (D.P.R. 1991).

Petitioner argues that foreign arbitration clauses in maritime bills of lading are not distinguishable in any relevant respect from foreign jurisdiction clauses and that the reasoning of the courts which have held foreign jurisdiction clauses to be unenforceable under COGSA applies with equal force to foreign arbitration clauses. Petitioner's Brief at 17-22. Petitioner is wrong on both counts.

a. *The FAA Requires Enforcement Of Foreign Arbitration Clauses, While No Federal Statute Requires Enforcement Of Foreign Jurisdiction Clauses.*

The first critical flaw in petitioner's argument is that it disregards entirely the impact of the FAA. The FAA applies expressly to maritime bills of lading, 9 U.S.C. § 1, and it specifically provides that written arbitration provisions contained in those bills of lading are valid, irrevocable and enforceable. 9 U.S.C. § 2. Congress has not, however, enacted an analogous statute requiring the enforcement of foreign jurisdiction clauses in bills of lading. The application of the FAA to mari-

time bills of lading distinguishes this case fundamentally from the foreign jurisdiction cases relied upon by petitioner and renders those cases inapposite. In *Indussa*, the leading case on foreign jurisdiction clauses in maritime bills of lading, Judge Friendly recognized this distinction and noted that, "[i]f there be any inconsistency between the [FAA and COGSA], presumably the [FAA] would prevail" 377 F.2d at 204 n.4.

b. *Litigation And Arbitration Are Fundamentally Different Forms Of Dispute Resolution.*

The second critical flaw in petitioner's argument is that it ignores the fundamental differences between litigation and arbitration.²¹ The argument made by petitioner, if accepted, leads directly to the conclusion that *all* arbitration clauses — foreign and domestic — in maritime bills of lading to which COGSA applies by its own force lessen the carrier's liability under COGSA and are unenforceable. Such a result, though plainly inconsistent with any reasonable reading of the FAA, might be required if the reasoning of the courts which have invalidated foreign jurisdiction clauses were accepted and applied to arbitration clauses in maritime bills of lading.

In *Indussa*, the court concluded that foreign jurisdiction clauses in maritime bills of lading are unenforceable, in part because they constitute an actual or a potential lessening of

²¹ Litigation in the United States is conducted in accordance with formal rules governing procedural and evidentiary matters, and with substantive law applied by judges whose decisions are reviewable by appellate courts. Arbitration is intended to be a less formal, less costly, and less time-consuming method of resolving private commercial disputes. In litigation, the judge is expected to have expertise in the law and to apply legal rules with precision. The same is not expected of an arbitrator, and an error of law by an arbitrator which would be sufficient to require reversal of a decision if committed by a judge will ordinarily not be sufficient to require vacating an arbitration award. *Ainsworth v. Skurnick*, 960 F.2d 939, 940 (11th Cir. 1992), cert. denied, -- U.S. --, 113 S.Ct. 1269 (1993).

the carrier's liability by requiring the presentation of a cargo claim in a foreign forum with no assurance that the judge there will apply COGSA "in the same way as would an American tribunal subject to the uniform control of the Supreme Court" *Indussa*, 377 F.2d at 203-204; accord, *Conklin*, 826 F.2d at 1442-1444; *Union Ins. Soc'y of Canton, Ltd.*, 642 F.2d at 723-725. But the parties to an arbitration proceeding — whether it is conducted in the United States or in a foreign country — also lack assurance that the arbitrators will apply the law as would an American court. Further, a simple error in the application of law by the arbitrators ordinarily will not provide a basis for vacating an award.²² This is true with respect to *all* arbitration, whether it is conducted in Boston, London or Tokyo.

Thus, if the reasoning of *Indussa* applies to arbitration clauses in maritime bills of lading constituting contracts of carriage to or from the United States, no arbitration clause in any of these bills of lading, foreign or domestic, would be enforceable. Such a result conflicts directly with the unequivocal language of the FAA, which provides that written arbitration provisions in "bills of lading of water carriers" shall be "valid, irrevocable, and enforceable" 9 U.S.C. §§ 1, 2. Petitioner acknowledges that this result is untenable by accepting the Eleventh Circuit's view that "arbitration as such does not violate COGSA, 'in light of Congress' encouragement of arbitration by its enactment of the [FAA]" Petitioner's Brief at 19 (quoting *State Establishment for Agric. Prod. Trading v. M/V Wesermunde*, 838 F.2d 1576, 1581 (11th Cir.), cert. denied, 488 U.S. 916 (1988)).²³ This

²² Petitioner acknowledges this distinction between arbitration and litigation. Petitioner's Brief at 20 n.16. Petitioner also contends, without citation to any authority, that vacating arbitrators' awards "would be even more difficult in the case of awards issued abroad." *Id.* No support exists for this assertion.

²³ In *Wesermunde*, the court indicated that a bill of lading clause

concession is compelled by the plain meaning of the language of the FAA and the decisions of this Court holding that the FAA must be rigorously enforced. *Mitsubishi*, 473 U.S. at 625-626; *Moses H. Cone Memorial Hosp.*, 460 U.S. at 24. The case at bar involves an arbitration clause, not a foreign jurisdiction clause, and the reasoning of *Indussa* and its progeny simply does not apply.

Petitioner's attempt to equate foreign jurisdiction clauses with foreign arbitration clauses must be rejected. Litigation and arbitration are distinctly different forms of dispute resolution, and clauses in maritime bills of lading addressing each must be treated differently. Congress has done so by enacting the FAA, and there is nothing in the language of that statute to support a contention that it does not apply to the bill of lading in issue. Indeed, the court in *Indussa* recognized the distinction between foreign jurisdiction and foreign arbitration clauses and made it clear that its "ruling does not touch the question of arbitration clauses in bills of lading" *Indussa*, 377 F.2d at 204 n.4.

The foreign jurisdiction clause cases are inapposite, and petitioner's reliance on them is misplaced. The FAA is controlling and requires that the arbitration clause in the Bill of Lading be enforced.

requiring arbitration in the United States would be enforceable "in light of Congress' encouragement of arbitration by its enactment of the [FAA]," but that a clause "requiring arbitration in a *foreign* country that has no connection with either the performance of the bill of lading contract or the making of the bill of lading contract is a provision that would conflict with COGSA's general purpose of not allowing carriers to lessen their risk of liability." 838 F.2d at 1581 (emphasis in original). The distinction drawn by the court between domestic and foreign arbitration may have been intended to soften the effect of its ruling against foreign arbitration clauses, but it is not supported by the plain language of the FAA.

E. THE REFERENCE TO JAPANESE LAW IN THE BILL OF LADING DOES NOT RENDER THE ARBITRATION CLAUSE UNENFORCEABLE.

Petitioner's argument that the reference to Japanese law in the Bill of Lading invalidates the arbitration clause is without merit.

Although the Bill of Lading in issue contains a provision providing for the application of Japanese law, J.A. 49 at ¶3 (1), it also provides for the application of COGSA in certain circumstances. J.A. 56 ¶19 (the "Local Clause"). Thus, at this interlocutory stage, it cannot be said with certainty that Japanese law will be applied by the arbitrators. For the reasons discussed below, however, the enforceability of the arbitration provision should not turn on whether COGSA or Japanese law will be applied.

A comparison of COGSA and the Japanese Hague Rules²⁴ demonstrates that the two statutes are substantively the same in all relevant respects. For example, both COGSA and the Japanese Hague Rules require that the carrier exercise due care with respect to cargo. 46 U.S.C. § 1303(2); Japanese Hague Rules, Article 3(1), 4(1), J.A. 112, 113.²⁵ Similarly,

²⁴ The Japanese codification of the Hague Rules is substantially the same as COGSA, which is the American codification of the Hague Rules. T. Schoenbaum, *Law of Admiralty*, § 9-13 at 314 (1987) (Hague Rules were incorporated into American law through enactment of COGSA). The Hague Rules and the Japanese Hague Rules are set forth in the Joint Appendix. J.A. 89-108 (Hague Rules); J.A. 109-120 (Japanese Hague Rules).

²⁵ Petitioner's argument to the effect that, under the Japanese Hague Rules, the carrier would have available a defense based on the acts or omissions of the stevedore (who was hired by the shipper, Galaxie) which would not be available under COGSA is plainly wrong. Petitioner's Brief at 21. COGSA specifically provides for such a defense. 46 U.S.C. §1304(2)(i) ("(2) neither the carrier nor the ship shall be responsible for loss or damage arising or resulting from . . . (i) Act or omission of the shipper or owner of the goods, his agent or representative."); see *Associated Metals & Minerals Corp. v. M/V Arakis Sky*, 978 F.2d 47 (2d Cir. 1992).

both impose liability on the carrier for negligent failure to make the vessel seaworthy and to make the holds fit and suitable for the carriage of goods. 46 U.S.C. § 1304(1); Japanese Hague Rules, Article 5, J.A. 114. The statutes evolve from the same source, the Hague Rules, and reflect each nation's commitment to the substantive principles embodied in that international convention. Thus, reliance by the arbitrators on one of these statutes rather than the other will not result in application of a different legal standard.

Further, by focusing on the reference to Japanese law in the Bill of Lading, petitioner again fails to appreciate the significance of the fact that the clause in issue calls for arbitration, not litigation. Arbitrators are not judges, and they are not expected to apply the law with the same exactitude as would a court in the United States. This is a feature, not a shortcoming, of arbitration. In the present case, this feature is of even less consequence than it might otherwise be, because the statutes in question, COGSA and the Japanese Hague Rules, are substantively the same in all relevant respects. The enforceability of the arbitration provision in issue does not turn on the title of the statute to be applied by the arbitrator. The FAA applies to this Bill of Lading and to this arbitration provision, and it requires that the arbitration provision be enforced.

F. THE WESERMUNDE DECISION IS WRONG.

State Establishment for Agric. Prod. Trading v. M/V Wesermunde, 838 F.2d 1576 (11th Cir.), cert. denied, 488 U.S. 916 (1988), involved a shipment of eggs from Tampa, Florida to Aqaba, Jordan on board the M/V WESERMUNDE. Prior to delivery in Jordan, the cargo was destroyed by fire. State Establishment for Agricultural Product Trading ("State Establishment"), an agency of the government of Iraq, in its capacity as the owner of the cargo, commenced a "multi-million dollar" action against the vessel and her owners,

managers and insurer, in the United States District Court for the Middle District of Florida. *Wesermunde*, 838 F.2d at 1578. At the time of the loss, the vessel was operating under a charter which contained a provision requiring all disputes arising thereunder to be settled by arbitration in London. *Id.* The bill of lading for the shipment incorporated by reference both the terms of the charter party and COGSA. *Id.* at 1580.

The defendants in *Wesermunde* moved for a stay of the action pending arbitration, and the district court allowed the motion. *Id.* at 1578-79. The court of appeals reversed. *Id.* at 1583. In the section of the opinion most relevant to the issue presently under review, the court of appeals concluded that a provision in a maritime bill of lading to which COGSA applies by its own force requiring "arbitration in a foreign country that has no connection with either the performance . . . or the making of the bill of lading contract . . . would conflict with COGSA's general purpose of not allowing carriers to lessen their risk of liability" and would, as a result, be "void and utterly without effect." *Id.* at 1581 (emphasis in original). The conclusion is wrong, and the First Circuit was correct in rejecting it.

The opinion in *Wesermunde* contains no meaningful analysis of the FAA, the application of the FAA to foreign arbitration clauses, the conflict between the FAA and COGSA, or the rules of statutory construction which should be applied to resolve the conflict. Instead, the court proceeds on the incorrect assumption that COGSA is controlling with respect to foreign arbitration clauses in maritime bills of lading. *Id.* at 1580-1581. As discussed *supra* at Sections A and B, this fundamental premise is incorrect. The FAA applies to foreign arbitration clauses in maritime bills of lading, and it removes such clauses from the grasp of COGSA.

Reliance on the wrong statute led the court in *Wesermunde* to apply the wrong legal standard. It considered the crucial

issue to be whether the arbitration clause in issue constituted a lessening of the carrier's liability under COGSA.²⁶ It asked the wrong question and, by doing so, reached the wrong result.

The FAA governs and it, not COGSA, establishes the legal standards to be applied in determining the enforceability of arbitration clauses in maritime bills of lading. The *Wesermunde* court's requirement that there be a "connection" between the foreign arbitration forum and the making or performance of the bill of lading contract as a prerequisite to the enforceability of an arbitration clause, 838 F.2d at 1581, finds no support in, and is inconsistent with, the plain language of the FAA. The FAA provides that arbitration agreements in maritime bills of lading are valid, irrevocable, and enforceable "save upon such grounds as exist at law or in equity for the revocation of any contract." 9 U.S.C. § 2. The absence of a connection between the arbitration forum and the making or performance of the bill of lading contract is not one of those grounds. See discussion of the grounds for avoidance of arbitration provisions, *supra* at Section C. The *Wesermunde* court's analysis of the issue was wrong from the start, and it should be rejected.

G. THE *INDUSSA* COURT INCORRECTLY CONSTRUED AND APPLIED SECTION 3(8) OF COGSA.

Petitioner asserts that the arbitration clause in the Bill of Lading violates section 3(8) of COGSA because enforcement

²⁶ The court relied on *Indussa*. *Wesermunde*, 838 F.2d at 1581. In doing so, it failed to heed the Second Circuit's admonition that the ruling in *Indussa* "does not touch the question of arbitration clauses . . ." *Indussa*, 377 F.2d at 204 n.4. In addition, the court in *Wesermunde* does not address, or even acknowledge, Judge Friendly's view that the FAA would prevail over COGSA in the event of a conflict between the two statutes. *Id.*

of the clause would result in a "lessening" of the carrier's liability "otherwise than as provided in" COGSA. Petitioner relies on *Indussa* to establish the meaning of the word "lessening" as it is used in COGSA.²⁷ For the reasons discussed below, respondent submits that the court in *Indussa* construed "lessening" too broadly and that, properly construed, section 3(8) of COGSA does not prohibit enforcement of the foreign arbitration clause in the Bill of Lading.

In *Indussa*, the Court of Appeals specifically rejected a case-by-case approach to the determination of whether a provision in a maritime bill of lading requiring suit in a foreign jurisdiction constituted a lessening of the carrier's liability under section 3(8) of COGSA. *Indussa*, 377 F.2d at 202. Instead, the court applied a bright-line rule, the effect of which was to "invalidate any contractual provision in a bill of lading for a shipment to or from the United States which would prevent cargo able to obtain jurisdiction over a carrier in an American court from having that court entertain the suit and apply the substantive rules Congress has prescribed." *Id.* at 204.²⁸ The court construed the term "lessening" very broadly and concluded that foreign jurisdiction clauses are invalid *per se* for two reasons. First, they place practical impediments in the way of cargo claimants and thereby make it more likely that such claimants will abandon their claims or settle them for lower amounts than they would if permitted to sue in an

²⁷ As discussed above, respondent's basic argument in the present case is that the FAA controls with respect to the enforceability of the arbitration clause contained in the Bill of Lading, and therefore COGSA does not apply to that clause. If respondent's position on this issue is accepted by the Court, then the issue of "lessening" under COGSA is irrelevant and need not be addressed. If, however, the Court rejects respondent's argument concerning the primacy of the FAA, then the meaning of the term "lessening" as it is used in COGSA becomes relevant.

²⁸ As discussed previously, the footnote to this statement makes it clear that the court did not intend the rule of preclusion to apply to arbitration clauses subject to the FAA. *Indussa*, 377 F.2d at 204 n.4.

American court, particularly when the claims are "small." *Id.* at 203. Second, such clauses were seen as depriving cargo claimants of the assurance that the foreign tribunal would apply COGSA in the same way as would an American court. *Id.* at 203-204. The court's expansive reading of the "lessening" provision is not supported by the text of the statute or by the decisions of this Court.

When determining the meaning of a statute, courts must first look to the language of the statute and apply to that text the common meaning of the words used. *See Old Colony R. Co. v. Commissioner of Internal Revenue*, 284 U.S. 552, 560 (1932). Section 3(8) of COGSA provides that any clause in a contract of carriage "lessening" a carrier's or a ship's "liability otherwise than as provided" in COGSA "shall be null and void and of no effect." 46 U.S.C. § 1303(8). The liabilities, responsibilities, rights and immunities of the carrier and the ship are set forth in sections 3 and 4 of COGSA. The carrier's responsibilities and liabilities with respect to the seaworthiness of the vessel and the loading, handling, stowage, care and discharge of the cargo are set forth in section 3. 46 U.S.C. § 1303. The circumstances under which the carrier shall not be responsible for loss or damage to cargo, and the monetary limits of the carrier's liability in certain specified instances, are set forth in section 4. 46 U.S.C. § 1304.

It is submitted that the "lessening" language of section 3(8) refers specifically to the carrier's "liability" under COGSA and should be read to apply specifically to, and only to, those liabilities described in the other sections of COGSA. Such a reading gives full effect to the lessening provision and prohibits, for example, provisions in bills of lading which purport to relieve a carrier of its statutory duty to exercise due diligence to make the vessel seaworthy, 46 U.S.C. § 1303(1), or to load, stow and discharge the cargo properly and carefully. 46 U.S.C. § 1303(2). Such a construction of the lessening provision also prohibits the enforcement of bill of lading pro-

visions purporting to shorten the period of time within which suit must be brought to less than one year, 46 U.S.C. § 1303(6), or to reduce the carrier's liability to less than \$500 per package, 46 U.S.C. § 1304(5). This is the common-sense meaning of the lessening prohibition contained in section 3(8).

In *Indussa*, the court construed the word "lessening" to apply to issues beyond the liabilities of the carrier and the vessel as described in the statute. In doing so, the court relied on this Court's decision in *Knott v. Botany Worsted Mills*, 179 U.S. 69 (1900). *Indussa*, 377 F.2d at 203. *Knott*, however, does not support the court's expansive reading of the lessening provision of COGSA. In *Knott*, this Court held that the Harter Act nullified a bill of lading provision which purported to exempt the carrier from liability for its own negligence in respect to the stowage of cargo. The bill of lading in issue in *Knott* contained a provision providing that the contract was governed by the law of the vessel's flag state, England. The Court indicated that the exculpatory clause in the bill of lading would be enforceable under the laws of England. *Knott*, 179 U.S. at 71-72. In these circumstances, the Court held that the bill of lading clause and the provision requiring the application of the law of the flag state were both nullified by the Harter Act, which specifically prohibited clauses which relieved the carrier of liability for damage arising from its own negligence in the loading, stowage and care of the cargo. *Id.* at 77.

Insofar as the court in *Indussa* relied on *Knott* as support for a bright-line rule precluding the enforcement of all foreign jurisdiction clauses in maritime bills of lading, that reliance was misplaced. The Court in *Knott* simply held that provisions in a bill of lading which would permit the carrier to avoid liability for its own negligence contravened a specific provision in the Harter Act. The decision in *Knott* is entirely consistent with the more narrow construction of the lessening provision proposed by respondent in the present action. That

construction of section 3(8) of COGSA would require that an exculpatory provision such as the one in issue in *Knott* be held to be unenforceable because it would result in a lessening of the carrier's liability by relieving it of the duty expressly stated in COGSA to load, stow, and care for the cargo "properly and carefully." 46 U.S.C. § 1303(2).²⁹

The lessening provision of section 3(8) should be construed to apply to those responsibilities and liabilities of the carrier and the vessel which are specified plainly in COGSA, such as the duty to load, stow and handle the cargo properly and carefully, and to preclude the enforcement of a bill of lading provision which, by its terms, limits those responsibilities and liabilities. Construed in this manner, the lessening provision of COGSA does not prohibit the enforcement of the arbitration clause in the Bill of Lading.

²⁹ In *Carnival Cruise Lines, Inc. v. Shute*, 499 U.S. 585 (1991), this Court upheld the validity of a forum-selection clause in a cruise line's passenger ticket requiring that suits against the carrier be brought in Florida. *Shute*, 499 U.S. at 595. The Court rejected the argument that the forum-selection clause was unenforceable because it violated 46 U.S.C. App. § 183c, which prohibits the owners of passenger vessels from inserting into the contract of carriage any provision which would "lessen . . . the right of any claimant to a trial by court of competent jurisdiction on the question of liability for . . . [personal] injury" *Id.* at 595-596. Respondents filed suit in Washington. Noting that a court in Florida would be a "court of competent jurisdiction" within the meaning of the statute, the Court concluded that the forum-selection clause did "not take away respondents' right to 'a trial by [a] court of competent jurisdiction' and thereby contravene the explicit proscription of § 183c." *Id.* at 596. The Court also rejected the argument that enforcement of the forum-selection clause would cause the passengers "unreasonable hardship in asserting their rights and therefore violat[e] Congress' intended goal in enacting § 183c." *Id.* Although *Shute* is distinguishable from the present case in that it did not involve COGSA and the clause in issue provided for a domestic judicial forum, the Court's straightforward approach to the construction and application of the lessening provision of the statute under review is consistent with that proposed by respondent in the present case.

CONCLUSION

For the foregoing reasons, the judgment of the court of appeals should be affirmed.

Respectfully submitted,

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